

up-and-down markets, hoping for the best. For participating in these markets, you may also want to consider investing in passive exchange-traded funds (ETFs) as an alternative to classic mutual funds, because the index-tracking ETFs hold the exact stocks of the index at all times and have substantially lower fees, making them track and match the index with a very high degree of precision. They are also very easy and cheap to buy and sell as they are directly traded on an exchange with up-to-the-second pricing.

■ The Case for Diversified Managed Futures

There are many viable investment strategies that tend to outperform buy-and-hold equities on a volatility adjusted basis and I employ several of them. One of the top strategies is trend-following managed futures for its consistent long-term track record of providing a very good return-to-risk ratio during both bull and bear years. A solid managed futures strategy has a reasonably high expected yearly return, an acceptable drawdown in relation to the yearly return and a lack of significant correlation to world equity markets, and preferably slightly negative correlation.

The list of successful traders and hedge funds operating in the trend-following managed futures markets is quite long and many of them have been around for decades, some even from the 1970s. The very fact that so many trend traders have managed not only to stay in business for this long period, but also to make consistently impressive returns, should in itself prove that these strategies work.

Table 1.1 shows a brief comparison between the performances of some futures managers to that of the world equity markets. As mentioned, MSCI World has shown a long-term yield of 8% with a maximum drawdown (DD) of 55%, which would mean that more than seven normal years of performance were given up in that decline. This could be compared with funds like EMC, which over the same period had a return of 17% and only gave up 27% at the most, or the equivalent of one and a half years only. Transtrend gave up even less of its return and even Dunn, which, after a stellar track record, suffered a setback some years ago, only lost four years of performance and still holds a much higher compound rate of return than the equity index.

Looking at the funds' correlation to MSCI World you should notice that none of them have any significant correlation at all. This means that with such a strategy, you really don't have to worry about whether the world